

Lab 1.1: Draft a Negotiation Planner

Introduction

This hands-on lab gives you practice preparing for a real negotiation before you ever reach the table. Using the Negotiation Planning Template from this lesson, you will map the stakeholders in a deal, calculate your BATNA and reservation price, identify the issues you can trade, and build a concession ladder. The goal is to walk into a negotiation knowing exactly where your lines are and what you are willing to move on, so that emotion and pressure do not make those decisions for you.

Learning Objectives

After completing this lab, you will be able to:

- Map the stakeholders in a deal by power and interest.
- Calculate a BATNA and set a reservation price for a negotiation.
- Identify three to five tradable issues and rate them by cost and value.
- Describe a concession ladder that protects value.



Scenario

You are an Account Executive at PayPro Solutions, a company that provides payroll processing, HR compliance, and employee benefits administration. Your services include bi-weekly and monthly payroll processing, tax filing and compliance, time tracking integration, employee self-service portal, and HR compliance support.

You are in talks with a 150-employee manufacturing company that currently runs payroll in-house. They are frustrated with the time it takes their small finance team to process payroll and stay compliant, and they are exploring a switch to an outside provider. They like your platform, but they are cost-conscious and cautious about the disruption of switching.

Your Role

Several people are involved in the decision: the CFO, who controls the budget; the HR Director, who manages day-to-day relationships; and the IT Manager, who is concerned about integration with their existing systems.

Your job is to prepare a one-page negotiation plan before your next meeting with them.

Tools/Downloadable Resources

Negotiation Planning Template (DOCX)

Lab 1.1 Exemplar Solution (DOCX)

Activity Steps

Exercise 1: Map the Stakeholders

Objective: Identify everyone with a voice in the decision and rate their power and interest.

Step 1: List the stakeholders

Using the scenario, list each person involved in the decision in the stakeholder section of your template. Include their role.

Step 2: Rate power and interest

For each stakeholder, rate how much power they have over the decision (Low, Medium, or High) and how much interest they have in the outcome. Note which way each one is likely leaning. This tells you where to focus and who you most need on your side.

Exercise 2: Calculate BATNA and Reservation Price

Objective: Define your walk-away point before you negotiate.

Step 1: Identify your BATNA

Ask yourself what PayPro would do if this deal falls through. Is there any other business in the pipeline? How much does PayPro need this particular account? Write your BATNA in the template.

Step 2: Set your reservation price

Based on your BATNA and PayPro's costs, decide the point past which the deal is no longer worth doing. This is your reservation price. Then set a realistic target, the outcome you are actually aiming for.

Step 3: Estimate other side's BATNA

Estimate the manufacturer's BATNA. Their main alternative is staying with in-house payroll. How painful is that for them? Use this to estimate where the acceptable ranges overlap, or in other words, the ZOPA.

Exercise 3: List Tradable Issues and Build a Concession Ladder

Objective: Identify what you can trade and plan the sequence of your concessions.

Step 1: List three to five tradable issues

Think beyond price. Consider issues like contract length, onboarding support, payment terms, the number of included training sessions, or integration help. For each issue, rate how much it costs PayPro and how much value it has to the manufacturer.

Step 2: Decide what you will ask for in return

For each concession you might make, note what you would request in exchange. For example, a longer contract term in return for a lower monthly rate.

Step 3: Build your concession ladder

Order your concessions from the smallest impact to the largest. Plan to lead with the small ones. Never open with your biggest give.

Self-Assessment Checklist

By the end of this lab, you should have a completed one-page negotiation plan that includes:

- A stakeholder map with at least three stakeholders rated by power and interest.

- Your BATNA, reservation price, and target, plus an estimate of the other side's position.

- Three to five tradable issues rated by cost to you and value to them.
- A concession ladder ordered from smallest to largest impact.

Summary

Congratulations! You have completed a full negotiation plan for a realistic deal. The preparation you practiced here is exactly what separates negotiators who protect value from those who give it away in the moment. Compare your plan to the Lab 1.1 Exemplar Solution to see one strong way to approach this scenario, and remember that there is no single correct answer, only well-prepared and poorly-prepared negotiators.